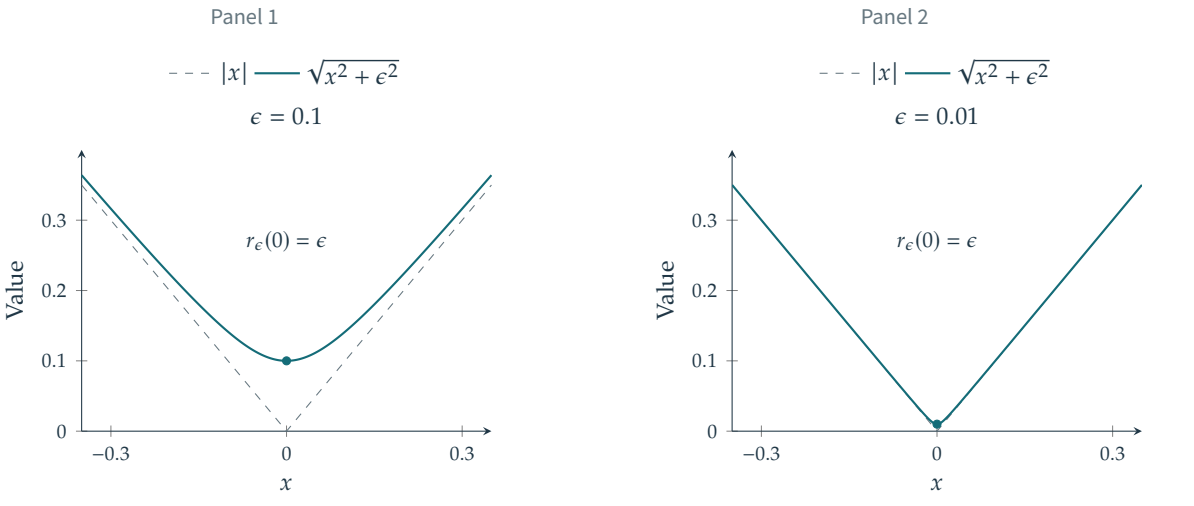

Panel 1
$|x|$
$\sqrt{x^2 + \epsilon^2}$
$\epsilon = 0.1$
$r_\epsilon(0) = \epsilon$
Value
0
0.1
0.2
0.3
−0.3
0
0.3
x
Panel 2
$|x|$
$\sqrt{x^2 + \epsilon^2}$
$\epsilon = 0.01$
$r_\epsilon(0) = \epsilon$
Value
0
0.1
0.2
0.3
−0.3
0
0.3
x